

# Project Evergreen — Cheba Hut / Elevated Inc. Co-Investment

## Due-Diligence Report

**Prepared:** June 25, 2026 · **Asset:** Elevated Inc. (David Timmons) — 24-unit Cheba Hut franchise group, Colorado & Nevada · **Sponsor/SPV:** "B Wild Investments" (PCM Hospitality) · **Document reviewed:** *Project Evergreen "B Wild"* CIM (63 pp, Summer 2025), cross-checked against the Cheba Hut 2025 Franchise Disclosure Document (FDD), county records, and live primary sources.

## Recommendation: PROCEED TO TERMS — do not commit capital yet

The operating asset is real, well-run, and **better than the original teaser implied** — every load-bearing operating claim we could test against a primary source held up. **But the investment itself cannot be underwritten from what we've been given:** the CIM contains no purchase price, no leverage, no fees/promote, and no return math, and the headline "22.9% EBITDA" is a store-level figure that is not what the equity actually earns. This is a *conditional* go: the gate is now entirely the transaction terms (the 14-item request in the appendix), not the quality of the business.

**One-line verdict:** A genuine, premium-performing franchise operator wrapped in a marketing document that discloses the restaurant honestly but omits the deal — underwrite the terms before sizing.

## 1. What cleared (operating case — verified)

| Claim (as marketed)                                   | How we verified it                                                                                               | Finding                                                                                                                                                                                                                                                                                    |
|-------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Operator is "Elevated Inc. / David Timmons," 24 units | FDD Exhibit C; CO Secretary of State; trade press; per-address check                                             | <b>Verified.</b> The original "Sublime Huts" cover-name is resolved; the entity, the principals (Timmons CEO, Kyle Archer COO/partner since 2020), and all 24 addresses reconcile.                                                                                                         |
| ~\$2.84M average unit volume (AUV)                    | Three independent cuts inside the deck (store-by-store P&L, consolidated statement, average P&L) vs. FDD Item 19 | <b>Verified as operator-specific.</b> Elevated genuinely runs 1.25× the FDD mature-store average and 1.44× the all-store average — it is the system's single largest, longest-tenured franchisee (~⅓ of a 73-unit system). The earlier "AUV ~20% overstated" concern is <b>withdrawn</b> . |
| 24 operating restaurants at the listed addresses      | Google Places business-status + rating per address; franchisor site cross-check                                  | <b>24/24 OPERATIONAL</b> , ratings <b>4.6–4.9★</b> with no weak or declining store. Review counts track unit age cleanly (established stores 1,400–3,500; 2024 openings in the hundreds). The roster is real and the units are healthy.                                                    |
| Franchisee owns the Cap Hill and UNC real estate      | Denver and Weld county assessor records                                                                          | <b>Verified related-party.</b> Both parcels are held by single-purpose LLCs (638 Colfax LLC; 1645 8th Ave LLC) mailing to the same PO box as the Timmons operating company. Ownership confirmed; pricing is open (see \$4).                                                                |
| Operator background is clean                          | Federal-litigation screen (CourtListener/RECAP), OFAC, CO/NV registries                                          | <b>Clean of material categories.</b> The 45 "David Timmons" federal dockets are out-of-region homonyms (zero in CO/NV courts); OFAC clear; CO entities in good standing. (Nevada LLC registration and state-court coverage remain a paid escalation.)                                      |

**Bottom line on operations:** this is a credible, 14-year, organically-grown operator with a premium book and no adverse media. The deck is comparatively *honest* on the operating data — it shows the full store-by-store P&L and even the decelerating same-store trend.

## 2. What did not clear (investment case — unverifiable from the CIM)

The document is a pure operating story. A full-text scan confirms it contains **none** of: purchase price, sources & uses, debt/leverage, management fee, carry/promote, hold period, or any IRR/MOIC. The marketed economics therefore cannot be taken at face value for three specific reasons:

**(a) "22.9% EBITDA" is store-level, not buyer cash flow.** The headline margin (p49) is a four-wall + royalty number — *before* above-store corporate overhead, owner/executive compensation, maintenance capital, and any acquisition debt. Loading those brings it down materially:

| Bridge (PF trailing-twelve, \$M)       |       |
|----------------------------------------|-------|
| Store-level EBITDA (as marketed)       | 14.5  |
| – above-store G&A (~6% of sales, est.) | (4.1) |

| Bridge (PF trailing-twelve, \$M)         |             |
|------------------------------------------|-------------|
| – owner/exec replacement comp (est.)     | (1.0)       |
| – franchise-fee true-up (see below)      | (1.6)       |
| <b>= "true" EBITDA</b>                   | <b>~7.9</b> |
| – maintenance capex (~3% of sales, est.) | (2.0)       |
| <b>= unlevered free cash flow</b>        | <b>~5.8</b> |

True EBITDA is roughly **54% of the marketed store-level figure**; unlevered free cash flow is **~40%**. *(The deductions are our estimates — the CIM discloses none of them; each should be replaced with an audited actual.)*

**(b) The rumored "4.7x" entry is really ~8.7x on true earnings.** A 4.7x multiple struck on the store-level base implies an enterprise value of ~\$68M — which is **~8.7x true EBITDA**, an honest ~8.5% unlevered cash yield, not the ~21% the headline multiple suggests. *Confirming which EBITDA base the price is struck on is the single most important open question — it swings implied value by roughly \$28M.*

**(c) The marketed franchise fees look light versus the FDD.** The store-level P&L carries a single "royalty" line at ~4.7% of sales. The Cheba Hut FDD (Item 6) sets recurring franchisor fees at **5% royalty + a 2% Brand Fund = 7% of Net Sales** (the Brand Fund can be raised to 4.2% on notice). The ~0.3-point royalty gap may simply reflect a Net-vs-gross-sales base difference, but the **2% Brand Fund (~\$1.4M)** is a separate mandatory fee that the deck's single line does not name — confirm whether it is captured in store operating expense or omitted. If omitted, store-level margin is overstated by ~2 points.

### 3. Return analysis (what the deal math actually implies)

Because price and leverage are undisclosed, we modeled returns as a function of the two undisclosed levers — EBITDA growth and exit multiple — at a representative 4.7x entry on store-level EBITDA, 50% leverage at 9%, six-year hold. *(Illustrative; replace with terms when provided.)*

| EBITDA outcome at exit                         | MOIC @ flat 4.7x | @ 5.0x      | @ 5.5x      |
|------------------------------------------------|------------------|-------------|-------------|
| Flat (no new units)                            | 1.5x             | 1.6x        | 1.8x        |
| +29% (the deck's own 2025E)                    | 2.1x             | 2.2x        | 2.5x        |
| +60% (~14 new units)                           | 2.7x             | 2.9x        | 3.2x        |
| <b>Double (the deck thesis, ~23 new units)</b> | <b>3.4x</b>      | <b>3.7x</b> | <b>4.1x</b> |

- **The marketed "4-6x" lives only in the top-right corner** — it requires EBITDA to *double*, which means **~23 new units (nearly tripling the 24-unit footprint)** in unproven Kansas / Kansas City markets, **plus** multiple expansion **plus** the assumed leverage. Each is a separate bet the document does not support with data.
- **The honest base case** (the deck's own +29% growth, flat exit) is **~2.1x / ~13% IRR**; the **floor** (no new units) is **~1.5x / ~7%** — a poor risk-adjusted return for an illiquid, single-operator, single-region position.
- **Growth is capital-bought, not organic.** Same-store sales have decelerated sharply (14.3% → 5.0% → 1.5% year-to-date), so the entire growth case rests on the new-build program — a multi-year capex obligation, not the existing book.

### 4. Key risks and watch items

1. **No transaction terms (the central gap).** Price, the EBITDA base the multiple is struck on, leverage, and fees/promote are all absent. Everything in §3 is conditional on them.
2. **Store-level EBITDA marketed as if it were buyer cash flow** (§2a) — the equity earns materially less than 22.9%.
3. **Growth is a capital obligation, not organic** — ~23 new units needed to "double," while same-store growth has flatlined to 1.5%.
4. **Case-study cherry-pick.** The three featured new-unit returns are the three newest units; one headline 267% cash-on-cash is driven by an atypically low ~\$323K build (likely a heavy tenant-improvement allowance), not a repeatable economic.
5. **Two sister units excluded from the deal.** The franchisor lists two additional Timmons-family Cheba Huts not in the 24-unit roster — Fort Collins-Harmony and Las Vegas-Centennial. Scope/non-compete question: are they retained by the seller? Harmony shares the Fort Collins market with two acquired units.
6. **Related-party real estate — pricing.** Both "owned" parcels are confirmed franchisee-controlled, but: Cap Hill is assessed at \$1.23M (improvements carried at \$1,000) against a 2022 purchase of \$1.80M, and UNC is flat to its 2020 basis. The price the seller proposes for

these must be reconciled to the public records.

7. **Co-principal economics.** Whether Kyle Archer holds equity (vs. title) is unconfirmed — i.e., whether the buyer is acquiring 100% of Timmons or a Timmons + Archer cap table.

8. **Concentration.** One operator, two states, one regional cannabis-branded niche brand, ~1/3 of a sub-80-unit system.

**Honesty grade — MIXED (but not a liar's deck).** The deck is candid on the operating data (it shows the same-store deceleration, the full store-by-store P&L, the FDD-consistent stratification, and the related-party real estate). The divergence is takeaway-vs-data: a store-level number labeled "EBITDA," a decelerating sales slide titled "consistently outperforming," and a cherry-picked outlier return. The operating story is real; the buyer economics are simply absent.

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## 5. What we need to close — questions for the sponsor

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### Tier 1 — Transaction terms (gating):

- What is the purchase price, and is the ~4.7× struck on store-level EBITDA (~\$14.5M) or on a true/adjusted EBITDA net of corporate overhead and owner compensation?
- What are the sources & uses at close — equity, senior debt, any seller rollover/financing, transaction fees, and any earnout or holdback?
- What are the debt terms — facility size, rate, amortization, covenants — and is the buildout program financed separately?
- What is the target hold period and underwritten exit multiple, and what supports an exit at or above the entry multiple for a sub-80-unit, single-region concept?

### Tier 2 — Quality of earnings:

- Can you provide a reviewed/audited P&L bridging store-level EBITDA to *true* EBITDA (loading above-store G&A and normalized owner/exec comp), and then to levered free cash flow (maintenance capex + debt service)? What does the equity actually earn versus the marketed 22.9%?
- The FDD (Item 6) sets recurring fees at 5% royalty + a 2% Brand Fund (= 7% of Net Sales). The deck's P&L shows a single 4.7% "royalty" line — does that figure include the 2% Brand Fund, and what royalty/Brand-Fund rates does the buyer inherit at close?
- Can you provide the un-pro-forma trailing-actual EBITDA, with the pro-forma adjustments itemized?

### Tier 3 — Structure, fees, alignment:

*Confirmed by the sponsor: ~90–100% of the SPV is PCM principal capital, invested pari-passu with co-investors, and funded via a single capital call (no multi-year follow-on calls) — to be reflected in the LPA.*

- What is the fee and promote structure at the co-invest level (management fee, carry, and any deal-level acquisition/monitoring/disposition fee), confirmed in the LPA rather than verbally?

### Tier 4 — Asset & scope:

- What is the disposition of the two excluded sister units (Fort Collins-Harmony and Las Vegas-Centennial) — carved out, retained by Timmons, or a different franchisee — and what are the non-compete / territory terms if retained?
- Does Kyle Archer hold equity (versus an officer title) — i.e., is the buyer acquiring 100% of Timmons or a Timmons + Archer cap table?
- What is the asking price for each of the two franchisee-owned parcels — Cap Hill (638 E Colfax) and UNC (1645 8th Ave)? We need both figures to fold the real estate into our underwriting. If you would rather we lease the parcels, what rent and terms apply?
- What is the new-build schedule and per-unit cost (deck \$775K vs. FDD range \$631K–\$2.086M), what AUV is underwritten for the new Kansas / Kansas City markets, and is the DTC unit's 267% cash-on-cash representative or an atypical low-build (tenant-improvement / second-generation) one-off?

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## Bottom line

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Operating diligence clears and the asset is genuinely attractive — a premium operator, 24 healthy units (4.6–4.9★, all open), real and owned real estate, and a clean principal. **Do not commit capital until the transaction terms are disclosed and an audited bridge from store-level EBITDA to buyer cash flow is in hand.** On the deck's own data, the honest base case is ~2.1× / ~13% over a long hold, with the marketed 4–6× available only if a near-tripling of the footprint executes flawlessly. The decision is a *terms* decision now, not a *business* decision.

*Supporting detail: bridge model ([cheba\\_bridge\\_model.md](#)), per-address verification ([cheba\\_addr\\_verify/](#)), operator screen ([timmons\\_elevated\\_screen.json](#)), terms request ([cheba\\_terms\\_request\\_memo.md](#)).*